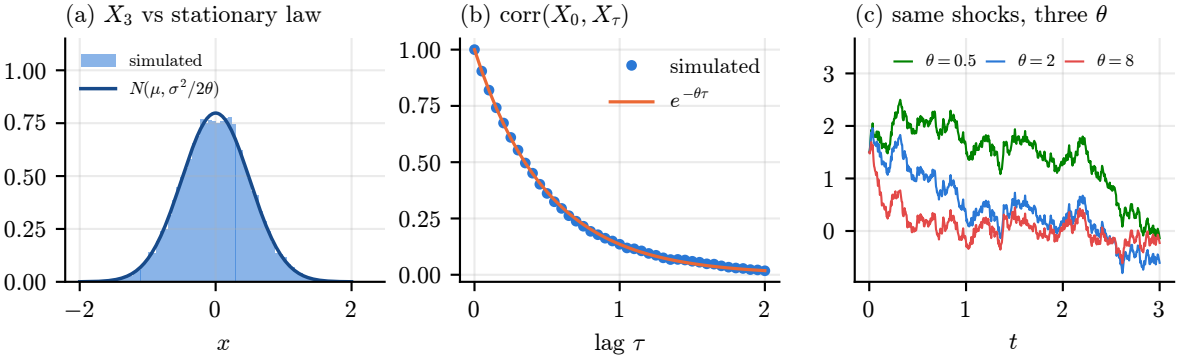
(a) X_3 vs stationary law
simulated
$N(\mu, \sigma^2/2\theta)$
1.00
0.75
0.50
0.25
0.00
−2
0
2
x
(b) corr(X_0, X_τ)
simulated
$e^{-\theta\tau}$
1.00
0.75
0.50
0.25
0.00
0
1
2
lag τ
(c) same shocks, three θ
$\theta = 0.5$
$\theta = 2$
$\theta = 8$
3
2
1
0
0
1
2
3
t